

In late 2013, bitcoin's network value was over \$10 billion, making it a significantly investable asset for retail investors even by capital market standards. On November 29, 2013, bitcoin reached \$1,242, making one bitcoin worth more than one ounce of gold.⁸

Clearly, bitcoin had risen a long way from its humble roots. If innovative investors had bought at this peak price, their returns would not have been nearly as rosy as if they had bought when Mt. Gox launched or when Facebook IPO'd. In fact, they would have endured an 80 percent loss in value over the following year before bitcoin bottomed in January 2015 and began a long, slow climb back to previous highs. By January 3, 2017, \$100 invested in bitcoin at its peak price would only retain \$83, while an investment instrument based on the S&P 500, DJIA, or NASDAQ 100 indices would have grown to \$133, \$133, and \$146, respectively (Figure 7.6).